Margin Account Guide

How margin works · CRA tax rules for 2026 · break-even yield · what to hold

A margin account lets you borrow from your broker to buy more investments than your cash alone would allow. You pay interest on the borrowed amount. Leverage pays off only when your investments earn more than the interest costs you.

> Margin amplifies gains AND losses. With half the portfolio borrowed (2× leverage), a 10% drop in the portfolio is a 20% loss of your own money, and a large drop can trigger a margin call that forces a sale at the worst time.

HOW MARGIN INTEREST WORKS

Item	Detail
What you pay	Interest on the borrowed balance, usually calculated daily and charged monthly.
Rates	Set by each broker, typically tied to its prime rate and your balance. Check your broker's current rate and enter it in Settings & Goals.
How it's charged	Most brokers take it from your cash balance each month. Log each charge in the Transaction Log as Type = Margin Interest.
Is it deductible?	Generally yes, as a carrying charge on Line 22100, when the borrowed money is used to buy investments with a reasonable expectation of income (dividends or interest).
No income cap	Unlike in the US, Canada does not limit the deduction to your investment income. Deductible interest above your investment income reduces your other income.
Not deductible	Interest on money used for personal spending or to contribute to a TFSA, RRSP or FHSA.

BREAK-EVEN YIELD: THE KEY NUMBER

Break-even yield is the dividend yield your whole portfolio needs just to pay the year's margin interest. Use the full-year interest (balance × rate), not the year-to-date total. Above break-even, leverage is adding income; below it, the interest is eating into your returns.

Rule	Example
Break-even yield = annual interest ÷ portfolio market value	$10,000 borrowed at 7% = $700 a year ÷ $30,000 portfolio = 2.33%
Portfolio yield above break-even: income covers the interest	4% yield = $1,200 in dividends – $700 interest = $500 a year ahead
Portfolio yield below break-even: interest costs more than it earns	2% yield = $600 in dividends – $700 interest = $100 a year behind

Before tax and before price changes. The tracker shows your break-even yield on the Main Dashboard and the Margin Interest tab.

CRA TAX RULES FOR A MARGIN ACCOUNT (2026)

Income or event	Tax treatment	Where it goes
Margin interest paid	Deductible carrying charge when borrowing to earn income from investments	Line 22100; Income Tax Folio S3-F6-C1
Capital gains	50% inclusion rate: half of the gain is taxable	Schedule 3, Line 12700
Canadian eligible dividends	Grossed up 38%, then a federal dividend tax credit of 15.0198% of the grossed-up amount, so the effective rate is lower than on regular income	Line 12000; credit on Line 40425
US and foreign dividends	Taxable at your full marginal rate with no dividend tax credit. The 15% US tax withheld is usually recovered as a foreign tax credit	Line 12100; credit on Line 40500
REIT distributions	Can be a mix of income, capital gains and return of capital. Return of capital isn't taxed now but lowers your ACB	T3 slip
Capital losses	Offset capital gains only. Carry back 3 years or forward indefinitely	Schedule 3; Form T1A to carry back
Superficial loss	A loss is denied if you, your spouse or an account you control (such as your TFSA or RRSP) buys the same security within 30 days before or after the sale	Income Tax Act s. 54
DRIP	Reinvested dividends are taxable in the year paid and add to your ACB	T5 slip
Foreign property	File Form T1135 if the total cost of your foreign property (US stocks included) is over $100,000 at any time in the year	Form T1135
T5008 slips	Your broker reports every sale. Check its numbers against the ACB in this tracker; the slip often doesn't show your true cost	Issued by end of February

WHAT TO HOLD IN A MARGIN ACCOUNT

Investment	Fit	Why
Canadian dividend stocks (TSE:RY, TSE:ENB, TSE:TD, TSE:BCE)	Excellent	Steady dividends help cover the interest, and the dividend tax credit lowers the tax on them.
Canadian dividend ETFs (TSE:VDY, TSE:HDIV, TSE:ZDV)	Good	Diversified income with less single-stock risk.
REITs (TSE:REI.UN, TSE:CSH.UN)	Good	High distributions help cover the interest, but most of the income doesn't get the dividend tax credit.
US dividend stocks (KO, JNJ, XOM)	Caution	No dividend tax credit, so they're taxed more heavily here. They usually fit better in your RRSP.
Growth stocks with no dividends	Caution	Nothing coming in to offset the interest, and leverage magnifies their swings.

TICKER FORMAT FOR LIVE PRICES

Stock type	Correct format	Will cause problems	Examples
Canadian stocks (TSX)	Always add the TSE: prefix	RY alone can return the US (NYSE) listing, in USD	TSE:RY · TSE:ENB · TSE:TD · TSE:BCE
Canadian ETFs	Always add the TSE: prefix	VDY alone can fail or return the wrong price	TSE:VDY · TSE:HDIV · TSE:ZDV
US stocks	Ticker only, no prefix	NASDAQ:KO can return $0	KO · JPM · XOM · JNJ

TRANSACTION TYPES

Type	When to use it	Columns to fill
Contribution	Cash deposit into your margin account	K: Amount
Withdrawal	Cash taken out of your margin account	K: Amount
Buy	Buying a stock or ETF	H: Shares + I: Price
Sell	Selling a stock or ETF. ACB recalculates automatically	H: Shares + I: Price
Dividend	Cash dividend received	K: Amount
DRIP	Dividend reinvested in new shares	H: Shares + I: Price
Margin Interest	The monthly interest charge from your broker	K: Amount
Transfer In / Out	Shares moved in from, or out to, another account	H: Shares

This guide is for general education and reflects CRA rules for the 2026 tax year. Rules change. Talk to a tax professional before relying on the interest deduction or making leveraged investment decisions.

Sources: canada.ca (Line 22100 carrying charges; Income Tax Folio S3-F6-C1, Interest Deductibility; Guide T4037, Capital Gains; dividend tax credit; Form T1135).